Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The Consolidated Financial Statements and related information in the annual report are the responsibility of management. The Consolidated Financial Statements have been prepared in accordance with Canadian generally accepted accounting principles, which involve the use of judgment and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the Consolidated Financial Statements.

The Company maintains systems of internal controls, which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's Consolidated Financial Statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the Consolidated Financial Statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



Richard A. Lan
President and
Chief Executive Officer
February 20, 2007



Michael H. Vels
Chief Financial Officer

Auditors' Report to the Shareholders

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2006 and 2005 and the consolidated statements of earnings, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2006 and 2005 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.



Chartered Accountants
Toronto, Canada
February 20, 2007

Consolidated Balance Sheets

As at December 31 (In thousands of Canadian dollars)	2006	2005
Assets		
Current Assets:		
Cash and cash equivalents	$ –	$ 11,382
Accounts receivable (Note 3)	57,272	22,070
Inventories (Note 4)	46,081	35,955
Future tax asset - current (Note 14)	5,873	5,327
Prepaid expenses	3,576	2,142
	$ 112,802	$ 76,876
Property and equipment (Note 5)	374,647	353,669
Goodwill	372,980	314,949
Other long-term assets (Note 6)	58,115	1,252
Future tax asset - non-current (Note 14)	403	8,669
Other intangibles	5,321	5,948
	$ 924,268	$ 761,363
Liabilities and Shareholders' Equity		
Current Liabilities:		
Bank indebtedness	$ 1,130	$ –
Accounts payable and accrued charges	169,134	136,385
Due to Maple Leaf Foods Inc. (Note 16)	9,336	4,736
Dividends payable	1,525	1,525
Income and other taxes payable	23,336	22,624
Current portion of long-term debt (Note 7)	9,494	226
	$ 213,955	$ 165,496
Long-term debt (Note 7)	86,471	32,083
Future tax liability (Note 14)	29,611	23,303
Other long-term liabilities (Note 9)	5,787	5,749
Shareholders' equity (Note 10)	588,444	534,732
	$ 924,268	$ 761,363

Contingencies and commitments (Note 18)
See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board



Richard A. Lan
Director



William E. Aziz
Director

Consolidated Statements of Earnings

Years ended December 31 (In thousands of Canadian dollars, except share amounts)	**2006**	2005
Sales (Note 2(m))	**$ 1,334,932**	$ 1,227,005
Earnings from operations before restructuring and other related costs	**$ 113,410**	$ 111,072
Restructuring and other related costs (Note 11)	**(5,484)**	(4,723)
Earnings from operations	**107,926**	106,349
Other income (Note 12)	**432**	1,868
Earnings before interest and income taxes	**108,358**	108,217
Interest expense (Note 13)	**3,656**	5,386
Earnings before income taxes	**104,702**	102,831
Income taxes (Note 14)	**51,152**	27,909
Net earnings	**$ 53,550**	$ 74,922
Earnings per share – basic (Note 19)	**$ 2.11**	$ 2.95
Earnings per share – diluted (Note 19)	**$ 2.11**	$ 2.93
Weighted average number of shares (millions)	**25.4**	25.4

Consolidated Statements of Retained Earnings

Years ended December 31 (In thousands of Canadian dollars)	**2006**	2005
Retained earnings, beginning of year	**$ 406,649**	$ 337,827
Net earnings	**53,550**	74,922
Dividends declared ($0.24 per share; 2005: $0.24 per share)	**(6,100)**	(6,100)
Inter-company aquisitions (Note 16)	**(3,366)**	–
Retained earnings, end of year	**$ 450,733**	$ 406,649

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Cash Flows

Years ended December 31 (In thousands of Canadian dollars)	2006	2005 As restated (Note 2(n))
Cash Provided By (Used In):		
Operating Activities		
Net earnings	**$ 53,550**	$ 74,922
Add (deduct) items not affecting cash:		
Depreciation and amortization	**45,010**	44,351
Future income taxes	**14,028**	(1,814)
Gain on sale of property and equipment	**(330)**	(1,695)
Other	**(1,652)**	(428)
Change in restructuring and other related costs (Note 11)	**3,527**	647
Change in non-cash operating working capital	**(7,791)**	(889)
	106,342	115,094
Financing Activities		
Dividends paid	**(6,100)**	(6,100)
Increase in long-term debt	**15,871**	38,300
Decrease in long-term debt	**(8,565)**	(92,539)
	1,206	(60,339)
Investing Activities		
Additions to property and equipment	**(47,998)**	(54,730)
Proceeds from sale of property and equipment	**1,744**	2,237
Purchase of net assets of business, net of cash acquired (Note 17)	**(73,841)**	–
Change in intangible assets	**35**	(192)
	(120,060)	(52,685)
Increase/(decrease) in cash and cash equivalents	**(12,512)**	2,070
Cash and cash equivalents, beginning of year	**11,382**	9,312
Cash and cash equivalents (bank indebtedness), end of year	**$ (1,130)**	$ 11,382
Supplemental cash flow information:		
Net interest paid	**$ 3,811**	$ 5,890
Net income taxes paid	**40,914**	33,176

See accompanying Notes to the Consolidated Financial Statements

Notes to Consolidated Financial Statements

Years ended December 31, 2006 and 2005
(Tabular amounts in thousands of Canadian dollars, except share amounts)

1. The Company

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 88.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. Significant Accounting Policies

The following are the significant accounting policies of the Company.

(a) Principles of consolidation

The consolidated financial statements include the accounts of the Company and its subsidiaries. Investments in associated companies, over which the Company exercises significant influence, are accounted for by the equity method. Investments in equity securities of entities over which the Company does not exert significant influence are accounted for using the cost method.

(b) Use of estimates

The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimates. Estimates are used when accounting for items and matters such as allowances for uncollectible accounts, sales of receivables, inventory obsolescence, depreciation and amortization, asset valuations, impairment assessments, employee benefits, pensions, taxes and any corresponding valuation allowances, restructuring and other provisions and contingencies.

(c) Translation of foreign currencies

The accounts of the Company are presented in Canadian dollars. The financial statements of foreign subsidiaries, whose unit of measure is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the year-end for assets and liabilities and the average exchange rates for the period for revenue and expenses. Exchange gains or losses on translation of foreign subsidiaries are included in the unrealized foreign currency adjustment account in shareholders' equity until realized.

(d) Hedging arrangements

The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The Company uses hedge accounting for its significant derivative transactions.

The Company formally documents all relationships between hedging instruments and hedged items, as well as its risk management objective and strategy for undertaking various hedged transactions. This process includes assigning all derivatives to specific assets and liabilities on the balance sheet or to specific firm commitments or anticipated transactions. The Company formally assesses, using regression analysis, both at the inception of the hedge and on a quarterly basis, whether the derivatives that are used in hedging transactions are effective in offsetting the changes in the fair values or the cash flows of hedged items.

The Company uses currency forward contracts and options to hedge its exposures to transactions denominated in foreign currencies. The Company also uses options to hedge its exposures to commodity based transactions (wheat and grains). When the criteria for hedge accounting are met, the gains and losses on the currency and/or commodity hedging instruments are recognized in the consolidated financial statements in the same period as the

underlying transaction is recorded in net earnings. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively. When the criteria for hedge accounting are not met, the Company records the fair value of the hedging items as other liabilities or assets on the balance sheet. Any resulting gains or losses are recorded in operating earnings. Where the Company enters into forward exchange contracts to hedge the principal and/or interest on related debt payable in foreign currencies, unrealized losses or gains on such contracts are matched with exchange gains or losses on the debt and/or interest payable.

The Company enters into interest rate swaps to reduce the impact of fluctuating interest rates on short-term and long-term debt. The Company designates its interest swaps relating to debt as hedges of the underlying debt. Interest expense on the debt is adjusted to include the payments made or received on the interest rate swaps. The related amount payable to or receivable from counterparties is included as an adjustment to accrued interest.

The Company designates its cross currency swaps as a hedge of its net investment in its U.S. based businesses. Any exchange gain or loss on its cross currency swaps is offset against the unrealized exchange gain or loss arising on translation of the related U.S. dollar currency denominated financial statements of these businesses and is included in the unrealized foreign currency adjustment account in shareholders' equity. The liability for the foreign exchange component of the swap is included in other liabilities.

Realized and unrealized gains or losses associated with derivative instruments that have been terminated or cease to be effective prior to maturity are recorded as deferred liabilities or assets on the balance sheet and recognized in income in the period in which the underlying hedged transaction is recognized. In the event the designated hedged item is sold, extinguished or matures prior to the termination of the related derivative instrument, any unrealized gain or loss on such derivative instrument is recognized immediately in income.

(e) Revenue recognition

The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as a reduction of revenue. Sales incentives include various rebate and promotional programs with the Company's customers, primarily rebates based on achievement of specified volume or growth in volume levels.

(f) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(g) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

Buildings	2.5% to 6%
Machinery and equipment	10% to 33%

Notes to Consolidated Financial Statements

Years ended December 31, 2006 and 2005
(Tabular amounts in thousands of Canadian dollars, except share amounts)

(h) Deferred financing costs

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and are included in interest expense for the year.

(i) Goodwill and other intangibles

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to the identifiable tangible and intangible assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands and delivery routes. Definite life intangibles are amortized over their estimated useful life. Goodwill is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the fair value of the reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value.

(j) Income taxes

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date.

(k) Employee benefit plans

The Company accrues obligations and costs in respect of employee benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the market value of assets and all gains and losses due to changes in plan provisions are amortized on a straight line basis over the expected average remaining service period of the active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(l) Statement of cash flows

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(m) Accounting changes

Effective January 1, 2006, the Company retroactively adopted, with restatement of prior periods, the guidance presented in Emerging Issues Committee ("EIC") Abstract 156 "Accounting by a Vendor for Consideration Given to a Customer including a Reseller of the Vendor's Products". The EIC requires vendors to classify certain

consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive an identifiable benefit in exchange for the consideration. The impact of the adoption of this standard was a reduction in sales for the year of approximately $131.0 million (2005: $119.5 million). This accounting change had no impact on operating earnings, net earnings or earnings per share.

(n) Comparative figures

Certain 2005 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2006.

3. Accounts Receivable

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains limited recourse obligations for delinquent receivables. At December 31, 2006, trade accounts receivable being serviced under this program amounted to $70.0 million (2005: $70.0 million).

4. Inventories

	2006	2005
Material held for production	**$ 27,579**	$ 25,104
Finished products	**18,502**	10,851
	$ 46,081	$ 35,955

5. Property and Equipment

	2006	2005
Land	**$ 24,531**	$ 24,914
Buildings	**152,173**	133,257
Machinery and equipment	**468,265**	415,362
Construction in progress	**30,273**	40,096
	675,242	613,629
Less: Accumulated depreciation	**300,595**	259,960
	$ 374,647	$ 353,669

6. Other Long-term Assets

	2006	2005
Swap receivable from Maple Leaf (Note 7(a))	**$ 56,434**	$ –
Other assets	**1,681**	1,252
	$ 58,115	$ 1,252

7. Long-term Debt

	2006	2005
Due to Maple Leaf (a)	**$ 86,623**	$ 32,029
Other (b)	**9,130**	–
Obligations under capital leases	**212**	280
	95,965	32,309
Less: Current portion	**9,494**	226
	$ 86,471	$ 32,083

(a) Canada Bread has a $250 million revolving debt facility with Maple Leaf to provide liquidity for general corporate purposes, repayable on December 27, 2008. The facility bears interest based on bankers' acceptance rates for Canadian dollar loans and Libor for U.S. dollar and British pound loans.

Effective September 30, 2006, the Company changed its financial statement presentation prospectively to disclose long-term debt to Maple Leaf separately from the long-term swap receivable from Maple Leaf (Note 6) because it is no longer certain that the remaining debt and foreign currency swap will be settled simultaneously. Had the prior period been presented on this basis, the impact would be an increase in total assets and total liabilities of $56.4 million as at December 31, 2005.

Net interest paid to Maple Leaf under these facilities was $0.8 million in 2006 (2005: $2.9 million).

(b) In 2006, the company established an operating line of credit of £5.0 million ($11.4 million) to provide short term funding for its U.K. operations. The facility has interest based on Libor rates. As of December 31, 2006, £4.0 million ($9.1 million) was outstanding.

(c) The Company has demand operating facilities of $31.9 million (2005: $31.9 million), including letter of credit facilities of $10.0 million, which bear interest at short-term rates. At December 31, 2006, $20.8 million (2005: $8.4 million) was utilized under these facilities of which $9.4 million was in respect of letters of credit (2005: $8.1 million).

The Company's blended average effective cost of borrowing for 2006 was approximately 4.0% (2005: 3.4%), after adjusting for the impact of hedges (see Note 8).

Required repayments of long-term debt are as follows:

2007	$	9,494
2008		86,471
Thereafter		–
	$	95,965

8. Derivative Financial Instruments and Risk Management

In the ordinary course of business, the Company has entered into derivative financial instruments with Maple Leaf as its counterparty to reduce underlying risks associated with foreign currency and interest rates.

Foreign currency risk management

The Company uses foreign currency forward contracts and options to manage its currency exposures. The currency exposure relates primarily to U.S. dollar-denominated export sales and U.S. dollar linked commodities, primarily flour and energy costs.

At December 31, 2006, the Company had net commitments to sell US$4.7 million (2005 net commitments to buy: US$0.6 million) at an average rate of 1.14 (2005: 1.21). At that date, if the Company had decided to terminate these commitments at prevailing market rates, it would have incurred a loss of $0.1 million (2005: loss of $0.1 million).

Interest rate risk management

The Company uses interest rate swaps to manage its exposure to interest rate fluctuations. At December 31, 2006, the Company had entered into interest rate swap contracts with Maple Leaf, having an aggregate notional amount of $70.0 million (2005: $130.0 million) and maturity dates ranging from June 28, 2011 to June 28, 2014. The fixed rates payable by the Company under these contracts range from 5.0% to 5.4%. The floating rates are based on three-month bankers' acceptance rates.

Based on market values at December 31, 2006, the Company would have realized a loss of $3.6 million (2005: loss of $4.5 million) if it terminated the above-noted swap agreements.

In 2003, the Company entered into a five year cross-currency swap with Maple Leaf to hedge U.S. dollar-denominated assets. This swap requires Canada Bread to pay interest of 3.48% per annum on US$140.0 million and receive interest of 4.45% per annum on CAD$219.6 million. Based on market values as at December 31, 2006, the Company would have realized a gain of $59.8 million if it terminated the above-noted swap agreement. Since this instrument was designated to hedge the currency translation on the Company's U.S. dollar-denominated assets, the portion of the gain related to currency translation ($56.4 million) has been recorded in the cumulative translation account. This amount has also been included in other long-term assets (Note 6).

Commodity price risk management

The Company uses a variety of third party derivative instruments to manage its exposure to commodity price fluctuations. Based on market values at December 31, 2006, the Company would have realized a gain of $0.4 million (2005: gain of $2.0 million) to terminate these outstanding contracts.

Fair values of financial assets and liabilities

Fair values of cash and cash equivalents, accounts receivable, accounts payable, and the current portion of long-term debt approximate their carrying values due to their short-term nature. The fair value of long-term indebtedness pursuant to the Company's facilities approximates its carrying value as it bears interest at floating rates.

9. Other Long-term Liabilities

	2006	2005
Post-retirement benefit liability (Note 15)	**$ 3,034**	$ 3,231
Other	**2,753**	2,518
	$ 5,787	$ 5,749

10. Shareholders' Equity

Shareholders' equity consists of the following:

	2006	2005
Share capital (25,416,812 common shares (2005: 25,416,812 common shares))	**$ 142,965**	$ 142,965
Retained earnings	**450,733**	406,649
Unrealized foreign currency adjustment	**(5,254)**	(14,882)
	$ 588,444	$ 534,732

Notes to Consolidated Financial Statements

Years ended December 31, 2006 and 2005
(Tabular amounts in thousands of Canadian dollars, except share amounts)

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at December 31, 2006 there were no issued and outstanding preference shares.

11. Restructuring and Other Related Costs

During the fourth quarter of 2006, the Company recorded restructuring and other related costs of $5.5 million ($3.7 million after tax). These costs related primarily to the closure of a fresh bakery plant in British Columbia. The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in the fourth quarter of 2006 as well as the related liability as at December 31, 2006.

	Severance	Site closing	Asset impairment	Total
2006 Restructuring and other related costs				
Charges during fourth quarter	$ 2,525	$ 1,428	$ 1,531	$ 5,484
Cash draw-downs	–	(67)	–	(67)
Non-cash items	–	–	(1,531)	(1,531)
Balance at December 31, 2006	$ 2,525	$ 1,361	$ –	$ 3,886

During the first quarter of 2005, the Company recorded $4.7 million in restructuring and other related costs ($3.2 million after tax), relating primarily to the closure of its bakery in Peterborough, England and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf. Included in the $4.7 million were provisions of $1.4 million relating to employee terminations, facility exit costs and other restructuring costs. Of the $1.4 million in provisions, $0.4 million was paid in 2006.

	Asset write-offs	Other	Total
2005 Restructuring and other related costs			
Charges during the first quarter	$ 3,348	$ 1,375	$ 4,723
Usage	(3,348)	(728)	(4,076)
Balance at December 31, 2005	$ –	$ 647	$ 647
Usage	–	(359)	(359)
Balance at December 31, 2006	$ –	$ 288	$ 288

12. Other Income

	2006	2005
Gain on sale of property and equipment	**$ 330**	$ 1,695
Other	**102**	173
	$ 432	$ 1,868

13. Interest Expense (Income)

	2006	2005
Interest expense on securitized receivables (Note 3)	**$ 3,170**	$ 2,240
Interest expense on long-term debt	**803**	3,452
Other net interest income	**(317)**	(306)
	$ 3,656	$ 5,386

14. Income Taxes

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income taxes rate as a result of the following:

	2006	2005
Income tax expense according to combined statutory rate of 33.6% (2005: 33.8%)	**$ 35,153**	$ 34,770
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	**(735)**	(862)
Rate difference in foreign jurisdictions	**(4,510)**	(3,897)
Non-taxable gains	**(69)**	204
Large corporations tax	**–**	66
Valuation allowance – U.S. tax losses	**21,434**	–
Future tax rate changes	**(1,348)**	–
Other	**1,227**	(2,372)
	$ 51,152	$ 27,909

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

	2006	2005
Future tax assets:		
Accrued assets	**$ 2,524**	$ 2,112
Loss carry forward	**21,434**	20,504
Valuation allowance	**(21,434)**	–
Other	**3,150**	3,515
	$ 5,674	$ 26,131
Future tax liabilities:		
Plant and equipment - differences in net book value and undepreciated capital cost	**$ 27,318**	$ 27,731
Other	**1,691**	7,707
	$ 29,009	$ 35,438
Classified in the consolidated financial statements as:		
Future tax asset - current	**$ 5,873**	$ 5,327
Future tax asset - non-current	**403**	8,669
Future tax liability - non-current	**(29,611)**	(23,303)
Net future tax liability	**$ (23,335)**	$ (9,307)

In accordance with CICA Handbook section 3465, "Accounting for Income Taxes", the Company reviews all available positive and negative evidence to evaluate the recoverability of future tax assets. This includes a review of the Company's cumulative losses in recent years, the carry forward period related to the tax losses and the tax planning strategies available to the Company. Upon applying these accounting rules to the Company's accumulated tax losses in the U.S. frozen bakery business, there is now sufficient uncertainty surrounding the timing and amount of losses that will be utilized. Accordingly, in the third quarter the Company recorded a valuation allowance of US$19.2 million ($21.2 million) against the full amount of the related net future tax asset related to tax losses in the U.S.

Notes to Consolidated Financial Statements

Years ended December 31, 2006 and 2005
(Tabular amounts in thousands of Canadian dollars, except share amounts)

15. Pensions and Other Post-retirement Benefits

Information about the Company's defined benefit plans as at December 31 is as follows:

	2006	2005
Accrued benefit obligation:		
Balance, beginning of year	**$ 124,099**	$ 108,856
Current service cost	**3,931**	2,982
Interest cost	**6,242**	6,253
Benefits paid	**(8,372)**	(7,355)
Actuarial losses	**4,246**	12,427
Employee contributions	**987**	936
Balance, end of year	**$ 131,133**	$ 124,099
Plan assets:		
Fair value, beginning of year	**$ 101,032**	$ 93,397
Actual return on plan assets	**11,966**	12,173
Employer contributions	**3,836**	1,881
Employee contributions	**987**	936
Benefits paid	**(8,372)**	(7,355)
Fair value, end of year	**$ 109,449**	$ 101,032
Funded status - plan deficit	**$ (21,684)**	$ (23,067)
Unamortized transitional amount	**(6,669)**	(7,447)
Unamortized actuarial losses	**28,419**	29,849
Unamortized prior service cost	**931**	1,025
Accrued benefit asset	**$ 997**	$ 360

The accrued benefit asset is included in other long-term assets on the balance sheet.

The pension assets are invested in the following asset categories at December 31, 2006 and December 31, 2005.

	2006	2005
Equity securities	**61%**	72%
Debt securities	**39%**	28%
	100%	100%

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

	2006	2005
Discount rate used to calculate net benefit plan expense	**5.00%**	5.75%
Discount rate used to calculate year-end accrued benefit obligation	**5.00%**	5.00%
Expected long-term rate of return on plan assets	**7.50%**	7.50%
Rate of compensation increase	**3.50%**	4.00%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2006	2005
Current service cost - defined contribution plans	**$ 7,237**	$ 6,832
Current service cost - defined benefit plans	**3,931**	2,982
Interest cost	**6,242**	6,253
Actual return on plan assets	**(11,966)**	(12,173)
Difference between actual and expected return on assets	**4,521**	5,325
Actuarial loss recognized	**4,246**	12,427
Difference between actual and recognized actuarial gains (losses) in the year	**(3,091)**	(11,555)
Amortization of transitional obligation	**(778)**	(778)
Amortization of prior service cost	**96**	96
Net benefit plan expense	**$ 10,438**	$ 9,409

A 1% change in health care cost trend would not have significant impact on the year-end obligation or the 2006 current service cost and interest costs.

Measurement dates for defined benefit plan obligations and expense:

2006 Expense	December 31, 2005
Balance Sheet	December 31, 2006

In addition, the Company has accrued and included in other long-term liabilities $3.0 million (2005: $3.2 million) in respect of post-retirement benefit obligations.

16. Related Party Transactions

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, provision of stock awards program, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $8.3 million (2005: $8.2 million) to Maple Leaf.

The Company received certain information system services from Maple Leaf for a cost of $6.9 million (2005: $5.7 million).

The Company received certain engineering services from Maple Leaf for a cost of $0.8 million (2005: $1.2 million).

The Company purchased 50% of Royal Touch Foods Inc. ("Royal Touch") shares from Maple Leaf for $4.5 million (Note 17(b)). For accounting purposes, this is considered a related party monetary transaction without a substantive change in ownership as Maple Leaf indirectly retains an 88.0% interest in Royal Touch. Accordingly, the Company has recorded the investment in Royal Touch at the carrying amount recorded by Maple Leaf. The difference between the carrying amount and the purchase price amount is equal to $3.4 million and is recorded as a reduction of retained earnings.

Notes to Consolidated Financial Statements

Years ended December 31, 2006 and 2005
(Tabular amounts in thousands of Canadian dollars, except share amounts)

17. Acquisitions

(a) On November 27, 2006, the Company purchased The French Croissant Company Ltd. ("FCC") and Avance U.K. Limited ("Avance"), two related bakeries in the U.K. for total consideration of £29.1 million ($63.9 million). FCC markets croissants and specialty goods across the U.K., and Avance is a leading supplier of fresh, frozen and long-life specialty bakery items. The Company has not yet finalized the purchase equation for these acquisitions.

(b) On October 2, 2006, the Company acquired the shares of Royal Touch, a pre-packaged sandwich supplier based in Etobicoke, Ontario, for $7.9 million, net of estimated cash acquired of $0.8 million. The Company purchased 50% of the Royal Touch shares from Maple Leaf and acquired the remaining shares from an unrelated third party for the same price. The purchase price is subject to an adjustment based on the net assets of Royal Touch as at the acquisition date. As at December 31, 2006 the purchase price adjustment has not yet been determined.

(c) On March 24, 2006 the Company acquired the assets and operations of Harvestime Limited ("Harvestime"), a bakery in Walsall, England for £1.0 million ($2.0 million). Harvestime is a producer of par-baked breads, rolls and specialty bakery products. As at December 31, 2006, the Company has finalized the purchase price allocation and goodwill of $0.7 million resulting from the transaction has been included in the total assets of the frozen bakery segment.

	Harvestime	Royal Touch	FCC/ Avance	**2006 Total**
Cash acquired	$ –	$ 812	$ –	**$ 812**
Non-cash working capital	76	822	(862)	**36**
Property and equipment	1,168	574	14,293	**16,035**
Non-current future tax liability	–	(44)	–	**(44)**
Goodwill	716	3,220	50,512	**54,448**
Retained earnings (Note 16)	–	3,366	–	**3,366**
Total purchase price	$ 1,960	$ 8,750	$ 63,943	**$ 74,653**

The following table provides details of the activity in the restructuring liabilities accrued in the purchase equation of businesses previously acquired:

	Employee termination costs	Other exit costs	Total
Balance at December 31, 2004	$ 972	$ 4,266	$ 5,238
Returned to goodwill	–	(500)	(500)
Cash payments	(9)	(819)	(828)
Transferred	(22)	–	(22)
Balance at December 31, 2005	$ 941	$ 2,947	$ 3,888
Cash payments	–	(275)	(275)
Returned to goodwill	(310)	(1,774)	(2,084)
Balance at December 31, 2006	$ 631	$ 898	$ 1,529

18. Contingencies and Commitments

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $11.9 million (2005: $12.3 million). The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

2007	$ 16,589
2008	13,773
2009	10,302
2010	7,093
2011	6,272
Thereafter	15,316
	$ 69,345

19. Earnings Per Share

The following table sets forth the calculation of basic and diluted earnings per share:

	2006	2005
Numerator:		
Earnings available to common shareholders – basic	**$ 53,550**	$ 74,922
Interest on convertible debt	**–**	398
Earnings available to common shareholders – diluted	**$ 53,550**	$ 75,320
Denominator:		
Weighted average common shares outstanding – basic (in thousands)	**25,417**	25,417
Effect of dilutive securities (in thousands):		
Convertible debt	**–**	326
Weighted average common shares outstanding – diluted (in thousands)	**25,417**	25,743

	2006	2005
Earnings per share:		
Basic	**$ 2.11**	$ 2.95
Diluted	**2.11**	2.93

Notes to Consolidated Financial Statements

Years ended December 31, 2006 and 2005
(Tabular amounts in thousands of Canadian dollars, except share amounts)

20. Segmented Financial Information

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	2006	2005
Sales to customers (Note 2(m))		
Fresh bakery	**$ 898,797**	$ 851,476
Frozen bakery	**436,135**	375,529
	$ 1,334,932	$ 1,227,005
Earnings from operations, before restructuring and other related costs		
Fresh bakery	**$ 93,928**	$ 81,965
Frozen bakery	**19,482**	29,107
	$ 113,410	$ 111,072
Capital expenditures		
Fresh bakery	**$ 36,109**	$ 29,814
Frozen bakery	**11,889**	24,916
	$ 47,998	$ 54,730
Depreciation and amortization		
Fresh bakery	**$ 23,286**	$ 22,907
Frozen bakery	**21,724**	21,444
	$ 45,010	$ 44,351
Total assets (Note 2(n))		
Fresh bakery	**$ 378,311**	$ 362,488
Frozen bakery	**529,360**	375,079
Non-allocated assets	**16,597**	23,796
	$ 924,268	$ 761,363
Goodwill		
Fresh bakery	**$ 128,251**	$ 129,066
Frozen bakery	**244,729**	185,883
	$ 372,980	$ 314,949

Corporate Information

Directors
Michael H. McCain
Chairman of the Board

Richard A. Lan
President and Chief Executive Officer

William E. Aziz
John L. Bragg O.C.
Sarah A. Everett
G. Wallace F. McCain O.C.
J. Scott McCain
John F. Petch

Corporate Office
10 Four Seasons Place
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www.canadabread.ca

Stock Exchange Listing and Stock Symbol
The Company's common shares are listed on The Toronto Stock Exchange and trade under the symbol "CBY".

Company Information
For public and investor relations inquiries, please call 416-926-2000.

Copies of the Company's annual and interim reports, Annual Information Form and other disclosure documents filed with regulatory authorities are available from the Corporate Secretary upon request. Please contact: 416-926-2000.

Annual Meeting
The Annual Meeting of the Shareholders of Canada Bread Company, Limited will be held at the Albany Club, 91 King Street East, Toronto, Ontario on Wednesday, May 2, 2007 at 2:30 p.m.

Auditors
KPMG LLP

Registrar and Transfer Agent
Computershare Investor Services Inc.

Shareholder Information
Inquiries regarding dividends, change of address, transfer requirements or lost certificates should be directed to the Company's transfer agent:
Computershare Investor Services Inc.
100 University Avenue, 9th Floor
Toronto, Ontario, M5J 2Y1, Canada
Tel: 514-982-7555 or
1-800-564-6253
(toll-free North America)
or service@computershare.com